

GROWING STRONG



Amid stock market volatility and falling interest rates, India's private credit market may be primed for growth



Several large asset managers like Kotak, Motilal Oswal and Avendus have raised funds in the past few months



The high yields are attracting attention from ultra HNIs and family offices



The Indian market is relatively small, pegged around \$12.4 billion, but has seen strong growth in recent years



Around \$15 billion is expected to be deployed in private credit in 2026, as per an EY survey

year, 35% year-on-year growth, according to consulting firm EY. Real estate was the dominant sector, accounting for 42% of the total deal value, followed by healthcare and other industrial products, it said.

Crucially, this growth in the domestic private credit market comes against a bleak global backdrop, with funds in the US facing redemption pressures.

MARKET GROWTH

One reason for the recent uptick in the private credit market is the passing of the Insolvency and Bankruptcy Code (IBC) in 2016, says Srinivasan, Managing Director of Kotak Alternate Asset Managers. That, and the government's proactive approach in amending the law to make it better, created an inflection point for private credit. "The credit environment, which includes the ability to recover your money, has changed," he adds.

Plus, there is a structural opportunity in the country because of a persistent funding gap. "As banks stay selective and skewed towards higher-rated exposures, mid-market, cash-flow positive companies continue to seek customised, flexible capital for refinancing, capex and acquisitions," Vishal Bansal, Partner, Debt and Special Situations at EY India, tells *BT*.

According to Bansal, the underlying need for private capital remains structural in India. As per a recent EY India survey, 55% fund managers expect \$10–15 billion deployment in 2026, while 28% expect over \$15 billion.

Srinivasan says India's banking industry is not large enough to meet the credit requirement of the economy in its entirety. To become a developed country,

India will need other forms of lending like private credit. He pegs the non-bank credit requirement over the next five years at \$150 billion.

"India has let the entrepreneurship genie out of the bottle, with newer entrepreneurs investing in hard assets, from electronics manufacturing to solar panels," he says. Large businesses can raise money easily. "The new guys are getting crowded out by banks, which typically lend based on corporate or personal guarantees," says Srinivasan. Kotak Alternate Asset Managers is planning a third fund in its strategic situations fund series (KSSF III) this year, aiming to raise money from foreign investors, with a target of \$2 billion. Separately, it is discussing a \$300 million specialised fund specifically targeting the energy transition theme.

Private credit is neither long-term patient equity, nor long-term patient debt, says Rakshat Kapoor, Head and CIO–Private Credit of Motilal Oswal Alternates. It is an interim financing solution for one to three years.

The fund manager is focused on sectors like healthcare, pharmaceuticals, life sciences and the broader manufacturing theme. However, he is staying away from greenfield infrastructure development and many new-age technology businesses, says Kapoor.

"Ours is not an early-stage fund, so we are looking at more mature, established businesses," says Kapoor.

Considering the needs of the economy, the strong deal activity in the space is not surprising. Last year, the Shapoorji Pallonji Group secured \$3.1 billion private credit funding, in the